Example 55: Reducing arbitrary power in tax administration

Tax officials obtained draconian powers under the excuse that these were essential for increasing the tax/GDP ratio. Tax officials draft their own procedural law, and thus have excessive control of the steady process through which greater powers are appropriated. Alongside this, tax rates have generally crept up; they are seldom reduced.

Greater coercive power and higher tax rates give us higher stakes: this makes it harder to achieve state capacity. The importance of tax officials has gone up, but the tax/GDP ratio has not.

If there is a proposal to reform the tax system, where reduced powers and greater checks and balances are a central issue, the incumbent tax officials will promise the decision makers that this will result in reduced tax revenues.

Time and money in building state capacity

The conventional Indian way of starting a new agency, e.g., a regulator, consists of enacting a law, hiring a few people, getting some temporary office space, and declaring the agency open for business. This is certain to yield operational rout. The agency drowns under the load that is placed upon it in the early days. It gets consumed in firefighting and never recovers.

We do differently, in India, on hard infrastructure. We know that an expressway costs Rs 150 million per kilometre. We know that in order to build an expressway, we must do systematic project management, enumerate all the sub-tasks that are required, and coordinate them in an overall project plan. Only after all elements are completed do we inaugurate the expressway. This same approach is required for building state capacity!